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FET596: ENTREPRENEURSHIP PROJECT
**Opportunity Recognition and Idea
Generation**

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Introduction

Opportunity recognition and **idea generation** are fundamental steps in the process of innovation, entrepreneurship, and problem-solving.

Recognizing opportunities involves identifying unmet needs or problems that can be addressed.

Idea generation follows by creating solutions or new concepts to exploit those opportunities.



Opportunity Recognition

Opportunity recognition is the process of identifying a favorable set of circumstances that create a need for a new product, service, or business.

Key Aspects:

- **Environmental Scanning:** Monitoring trends, changes, and gaps in markets, technology, and society.
- **Problem Identification:** Spotting issues that need solutions.
- **Market Needs Assessment:** Understanding customer pain points and desires.
- **Emerging Trends Observation:** Tracking technological advances, regulatory changes, demographic shifts, etc.

Sources of Opportunity

Technological advances
(e.g., AI, renewable energy)

Regulatory changes
(e.g., new environmental laws)

Demographic shifts
(e.g., aging populations)

Societal trends (e.g., health consciousness)

Economic changes (e.g., recessions
creating need for affordable solutions)



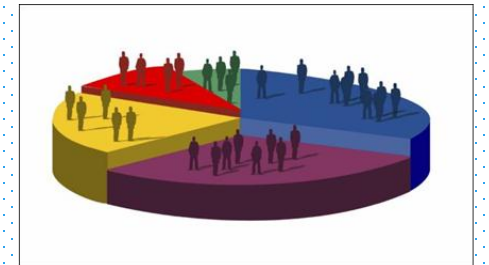
**Consider your
hobbies or skills**



**Consider consumer
needs and wants**



**Conduct Surveys and
questionnaires – test the
market**



Study demographics

Sources of Opportunity



- ❖ Use new technology to produce a new product.
- ❖ Use an existing technology to produce a new product.



- ❖ Use an existing technology to produce an old product in a new way.
- ❖ Find a new source of (cheaper) resources.
- ❖ Develop a new market for an existing product.



Roots of Opportunity

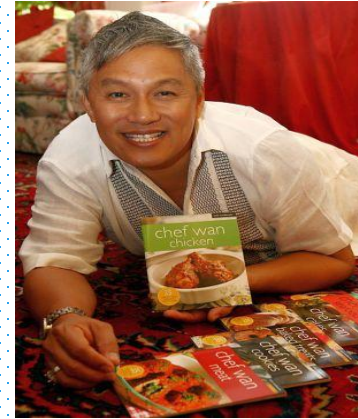
1. Problems
2. Changes
3. Inventions
4. Competition
5. Technological advances



*Where others see problems,
entrepreneurs recognize opportunities.*

Classes of Opportunities

1. **External**—generated by **outside** **circumstances** noticed by the entrepreneur.
2. **Internal**—generated by an **interest** or **hobby** of the entrepreneur.



- **Internal opportunity** = *"What am I good at?"*
→ build a business based on personal strength.
- **External opportunity** = *"What does the world need?"*
→ create a solution based on external demand or change.

Classes of Opportunities

Internal vs External Opportunities for Entrepreneurs

Aspect	Internal Opportunity	External Opportunity
Definition	Opportunities that arise from the entrepreneur's own skills, knowledge, experience, passions, resources, or networks.	Opportunities that arise from changes or gaps in the external environment (market trends, customer needs, technology, regulations, societal shifts).
Source	Personal strengths, past experiences, talents, hobbies, professional expertise.	Market conditions, industry changes, customer demands, competition, technological innovations, global events.
Control	More under the entrepreneur's direct control because it relates to their internal capabilities.	Less direct control—entrepreneur must adapt or respond to external changes.
Example	- A software engineer starting a coding bootcamp because of their teaching passion. - A chef opening a new restaurant based on their culinary expertise.	- Launching a telemedicine service in response to rising demand for online healthcare. - Creating eco-friendly packaging due to new environmental regulations.
Focus	Leveraging personal assets and resources.	Identifying and exploiting gaps or needs in the broader market or society.
Risk	Typically lower if based on strong personal competence.	Potentially higher because the entrepreneur must interpret and predict external forces accurately.



Idea Generation

Idea generation is the creative process of developing new concepts to solve recognized problems or meet identified opportunities.

Key Principles:

- **Quantity over quality initially:** Encourage many ideas without judgment.
- **Freedom of thought:** Allow wild and unconventional ideas.
- **Building on others' ideas:** Improve or combine concepts.
- **Deferred judgment:** Evaluate ideas later in the process.



Techniques for Idea Generation

Technique	Description
Brainstorming	Group activity to freely propose ideas.
Mind Mapping	Visualizing connections between ideas.
SCAMPER	Technique based on questions: Substitute, Combine, Adapt, Modify, Put to another use, Eliminate, Reverse.
Reverse Thinking	Consider the opposite of the norm.
Random Word Association	Use random words to spark ideas.
Design Thinking	Empathize, define, ideate, prototype, and test solutions.



Techniques for Idea Generation

Creative Mindsets:

- Curiosity:** Constantly asking "why?" or "what if?"
- Openness to experience:** Being receptive to new ideas and perspectives.
- Risk tolerance:** Being willing to pursue uncertain or bold ideas.
- Persistence:** Refining and developing ideas over time.

Linking Opportunity Recognition and Idea Generation

The two processes are interconnected:

- Recognized Opportunity → Triggers → Idea Generation.**
- Generated Idea → Explores → New Opportunities.**

Often, the cycle is iterative: new ideas reveal further opportunities, leading to even more refined or innovative ideas.



Conclusion

Opportunity recognition and idea generation are critical competencies for entrepreneurs, innovators, and problem-solvers.

Mastering these skills requires **keen observation, creative thinking, and continuous experimentation.**

Successful ventures often originate from a simple but well-identified opportunity paired with an innovative idea.

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Business planning



Group Activity and Discussion

Exercise: Identify a problem in your local community.

Base on opportunity and idea generation, and using the entrepreneurship process outline a business idea and its feasibility.

Some Questions for Reflection may include:

- What makes an idea valuable?
- Why is planning important?
- Which stage do you think is the most difficult? Why?
- ...